

BUILDING WITH AN EDGE

To compete globally, Indian manufacturing must build a distinct advantage and not rely only on being the cheapest producer

BY KRISHNA GOPALAN

TRY AND LOOK UP the meaning of manufacturing in a dictionary. What you get is a fairly simple definition: it's the business or industry of producing goods in large quantities.

120 | On the face of it, the meaning is easy to grasp. Almost instantly, you see visions of a steel or a cement plant. Top that up with Industry 5.0—the phase of industrialisation bringing together human creativity and skills with a generous dollop of Artificial Intelligence (AI) and automation. In one stroke, shop floors become all about robotics, with limited human involvement.

Cut to India. Go through the data spanning 5,728 manufacturing companies, both listed and unlisted, as we did, and interesting findings emerge. Refineries are the largest in terms of turnover, for one. Auto ancillaries account for the largest share of companies, for another.

The data clearly shows that manufacturing is an integral part of India's growth story but it still needs to make the big moves to become even larger. If India is to sit at the big table, it isn't a choice; it's a compulsion.

UNIQUE STORY

You are spoilt for choice when it comes to homemade solutions. Vishal Sharma, Executive Director and CEO of Godrej Industries (Chemicals) and Chairperson of Astec LifeSciences, says most successful manufacturing nations have built their model around one dominant idea. "For China, it was about scale and state-directed capital while Germany did it through precision engineering and vocational depth," he says. "Vietnam and Bangladesh took the cost-arbitrage route in labour-intensive segments."

India has not had the luxury of picking just one idea, which is now turning out to be an advantage, says Sharma. "Our model is more plural. We have strong information technology and engineering talent sitting well with genuine capabilities in complex chemistry and pharmaceuticals. All this is with a domestic consumption base large enough to make plants viable even before exports are considered."



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